MEMORANDUM: The “Double-Dip” Calculation Error

Subject: Mathematical Proof of Underpayment (Applicable to Equity or Profit-Share Models)

The Core Issue

Under the current P&L structure, the $3,500 base compensation is categorized as an **Operating Expense**.
This is mathematically incorrect for *any* performance-based compensation model — including **equity profit distributions**, **revenue-share**, or **profit-share contracts**.

By subtracting the base fee before calculating the 25% share, the system **reduces the profit pool first** and then calculates the partner’s percentage on a smaller number.

This effectively forces the recipient to **pay back 25% of their own salary** to the company each month.

Visualizing the Error

Scenario A — “Double-Dip” Method (Current)

The base fee is deducted first, shrinking the pool.

1. Profit Pool: $10,000
2. Subtract Base Fee as an “Expense”: –$3,500
3. New Profit Pool: **$6,500**
4. 25% of $6,500 = **$1,625**
5. **Total Payout:** $3,500 + $1,625 = **$5,125**

The key flaw:
Your base fee reduces the very pool your performance share is calculated from.

Scenario B — Correct Method (Standard Profit-Share)

The base fee is treated as a fixed distribution or contractor fee — not an operating expense.

1. Profit Pool: **$10,000**
2. 25% Share of $10,000 = **$2,500**
3. Add Base Fee (Distribution): **$3,500**
4. **Total Payout:** $3,500 + $2,500 = **$6,000**

This is the industry-standard model for:

- Partner distributions
- Profit-share contractors
- Commission-plus-profit roles
- Any compensation where a fixed fee + percent share are combined

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The Mathematical Result

The incorrect ("double-dip") method produces a fixed monthly underpayment of:

$3,500 × 25% = $875 lost per month

This error is **structural**, meaning:

- It happens automatically
- It does not depend on ad spend, COGS, or revenue mix
- It occurs even if every other P&L input is accurate

Over 10 months, this creates:

$875 × 10 = $8,750 in guaranteed underpayment

This figure is part of the larger YTD correction, but this piece alone is entirely due to the misclassification of the base fee.

Conclusion

Whether this role is defined as:

- **An equity partner receiving distributions**, or
- **A contractor receiving a profit-share**,

the mathematics and accounting standards are identical:

The performance share must be calculated on the business's net profit — not the profit after deducting the recipient's own base fee.

Treating the $3,500 as an operating expense violates the logic of the agreement and creates a predictable, formula-level shortfall every month.